

earnings, and amounts were charged against this surplus to reduce the good-will account, until finally it was written down to \$1.⁴

In the case of United States Steel Corporation, the original capitalization exceeded tangible assets by no less than \$768,000,000, representing all the common and more than half the preferred stock. This “water” in the balance sheet was not shown as a good-will item, as in the case of Woolworth, but was concealed by an overvaluation of the fixed assets (*i.e.*, of the “Property Investment Accounts”). Through various accounting methods, however, the management applied earnings from operations to the writing off of these intangible or fictitious assets. By the end of 1929 a total of \$508,000,000—equal to the entire original common-stock issue—had been taken from earnings or surplus and deducted from the property account. The balance of \$260,000,000 was set up separately as an intangible asset in the 1937 report and then written off entirely in 1938 by means of a reduction in the stated value of the common stock.

Some of the accounting policies above referred to will be discussed again, with respect to their influence on investment values, in our chapters on Analysis of the Income Account and Balance-sheet Analysis. From the dividend standpoint it is clear that in both of these examples the decision to retain large amounts of earnings, instead of paying them out to the stockholders, was due in part to the desire to eliminate intangible items from the asset accounts.

Conclusions from the Foregoing. From the foregoing discussion certain conclusions may be drawn. These bear, first on the very practical question of what significance should be accorded the dividend rate as compared with the reported earnings and, secondly, upon the more theoretical but exceedingly important question of what dividend policies should be considered as most desirable from the standpoint of the stockholders’ interest.

Experience would confirm the established verdict of the stock market that a dollar of earnings is worth more to the stockholder if paid him in dividends than when carried to surplus. The common-stock investor should ordinarily require both an adequate earning power and an adequate

⁴ It should be noted that when the good-will of Woolworth was originally listed in the balance sheet at \$50,000,000, its actual value (as measured by the market price of the shares) was only some \$20,000,000. But when the good-will was written down to \$1, in 1925, its real value was apparently many times \$50,000,000.